

INSURANCE AND PENSIONS COMMISSION



THIRD QUARTER REPORT
FOR
SELF ADMINISTERED PENSION FUNDS

THIRD QUARTER ENDED 30 SEPTEMBER 2014

1.0 Table of Contents

	Table	Graph	Page
Industry Overview	2.2		3
Standalone Funds			
The Number of Standalone Self-Administered Pension Funds	1		5
Membership Statistics	2	1	6,7
Contributions	3	2	7-9
Income and Expenditure	4	3	9-11
Fund Assets	5	4	11-13
Insurer Administered Funds			
The Number of Insurers	1		15
Membership Statistics	2	1	15-16
Contributions	3	2	16-17
Income and Expenditure	4	3	18
Fund Assets	5	4	20
Fund Administrators			
The Number of Fund administrators	1		22
Membership Statistics	2	1	22
Contributions	3	2	23-24
Income and Expenditure	4	3	24- 25
Fund Assets	5	4	25 -26
Circulars and Statutory Instruments	6		26
Prescribed Assets	7		27

2.0 Industry Overview

This report summarizes cumulative performance indicators for 15 standalone funds, 3 fund administrators, and four life insurers.

For the year to date, self-administered funds collected contributions amounting to \$410million from \$283 million reported last year although \$246million or 60% were in contribution arrears (September 2013:\$166million or 59%).

In addition expenditure, net of benefits paid, continue to spike from 22% reported previously to 27%. The Commission might be forced to employ drastic measures including directing small funds to form umbrella schemes with a view to ensuring that member benefits and values gain from economies of scale by way of sharing costs. The total asset base for the funds was \$2.18billion, a 24% growth from \$1.76 billion reported last year (See Table 1, below).

2.2 Financial Summary for Self-Administered Funds for the third quarter ended 30 September 2014

Item	Standalone Funds			Insurer Administered Funds			Fund Administrators			TOTALS		
	Sep-13	Sep-14	%	Sep-13	Sep-14	%	Sep-13	Sep-14	%	Sep-13	Sep-14	%
Arrear Contributions (\$000)	126,260	183,329	45%	13,425	31,466	134%	26,773	31,253	17%	166,458	246,048	48%
Total Contributions (Incl.Arrears)(\$000)	189,176	256,186	35%	35,705	69,900	98%	58,147	83,790	44%	283,028	409,876	45%
Total Contributions (Excl. Arrears) (\$000)	62,916	70,086	11%	22,460	38,434	71%	35,953	52,537	46%	121,329	161,057	33%
Total Income (\$000)	104,443	111,207	6%	43,198	47,328	10%	59,253	72,363	22%	206,894	230,898	12%
Total Benefits	42,118	64,319	53%	7,829	12,672	62%	10,642	27,437	158%	60,589	104,428	72%
Total Expenses (\$000)	10,511	13,981	33%	6,258	8,084	29%	10,220	21,093	206%	26,989	43,158	60%
Net Income(\$000)	94,932	97,226	2%	36,940	39,244	6%	62,143	51,270	(17%)	194,015	187,740	-3%
(Expense/Contributions)%	35%	20%	(15%)	28%	21%	7%	28%	40%	12%	22%	27%	5%
(Expense/Total Income)%	10%	13%	3%	14%	19%	5%	17%	29%	12%	13%	19%	6%-
Total Assets (\$000)	1,134,442	1,286,141	13%	226,268	402,581	78%	398,363	491,717	23%	1,759,073	2,180,439	24%
Prescribed Assets (\$000)	11,732	23,274	98%	3,555	14,190	299%	13,214	20,839	58%	28,501	58,303	105%
Prescribed Asset Ratio (%)	1%	2%	1%	2%	4%	3%	3%	4%	1%	2%	3%	1%

SECTION A

STAND ALONE FUNDS



3.0 Standalone Self-Administered Pension Funds

This report is on 15 standalone funds (See Table 1, below).

Table 1: Stand alone Self-Administered Pension Funds

Fund Name	September 2014
Catering IPF	1
Clothing IPF	1
CAIPF	1
CIPF	1
LAPF	1
MIPF	1
NRZ	1
ZB FHGPF	1
ZMDC	1
ZESA PF	1
Grain Marketing Board(GMB)	1
Zimpapers	1
Motor Ind	1
Pentact P/F	1
Shingirai Business Machines(SBM)	1
TOTALS	15

***Returns not submitted**

4.0 Pension Fund Membership

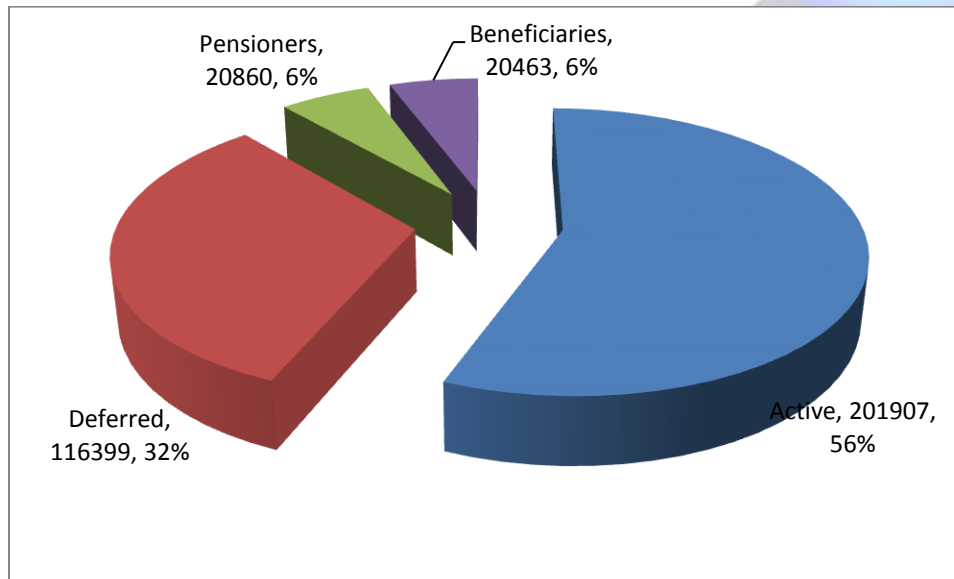
Total fund membership was made up of 202 000 or 56% active members, 116 000 or 32% deferred members, 6% or 21000 being pensioners whilst the balance were beneficiaries (See Table 2 and Figure 1, below).

Table2: Membership per Standalone Fund for the first quarter ended 30 September 2014

Fund Name	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth
Catering IPF	*	14398	0%	*	46004	0%	*	-	0%	-	160	0%	-	-	0%	0	60562	0%
Clothing IPF	13004	11873	9%	9130	11003	21%	-	0	0%	-	352	0%	(183)	0	-100%	22134	23228	5%
CAIPF	3382	4318	28%	4135	4107	-1%	1,364	1412	4%	2,896	1756	-39%	(172)	(1992)	1058%	11778	11593	-2%
CIPF	55304	58129	5%	5428	5728	6%	52	77	48%	91	108	19%	(516)	(730)	41%	60875	64042	5%
LAPF	20136	19742	-2%	-	0	0%	4,164	4071	0%	7,883	6813	-14%	(148)	(82)	-45%	32183	30626	-5%
MIPF	29754	28386	-5%	41399	43595	5%	7,131	7945	11%	1,202	1265	5%	(1750)	(2736)	56%	79486	81191	2%
NRZ	7120	6670	-6%	1829	1898	4%	5,399	5710	6%	8,616	8600	0%	(134)	(78)	-42%	22964	22878	0%
ZB FHGPF	1006	2770	175%	828	2540	207%	146	439	201%	180	526	192%	(8)	(186)	2225%	2160	6275	191%
ZMDC P/F	188	187	-1%	-	0	0%	62	62	0%	78	79	1%	-	0	0%	324	328	1%
ZESA PF	6596	6758	2%	-	0	0%	272	288	0%	162	135	-17%	-	0	0%	7030	7181	2%
GMB	2059	1999	-3%	699	694	-1%	21	27	29%	-	0	0%	(5)	(25)	400%	2779	2720	-2%
Zimpapers	*	986	0%	*	829	0%	*	492	0%	*	496	0%	-	(5)	0%	*	2803	0%
Motor Ind	45357	45686	1%	-	0	0%	178	337	0%	40	173	333%	-	0	0%	45575	46196	1%
Pentact P/F	4		-100%	-		0%	-		0%	-	0	0%	-	0	0%	4	0	0%
SBM	*	5	0%	-	1	0%	0	0	0%	-	0	0%	(1)	0	-100%	89	6	-93%
Totals	183910	201907	10%	63448	116399	83%	18,789	20860	11%	21,148	20463	-3%	(2917)	(5834)	100%	287,381	359629	25%

***Returns not submitted**

Figure 1: Membership for Standalone Funds for the third quarter ended 30 September 2014



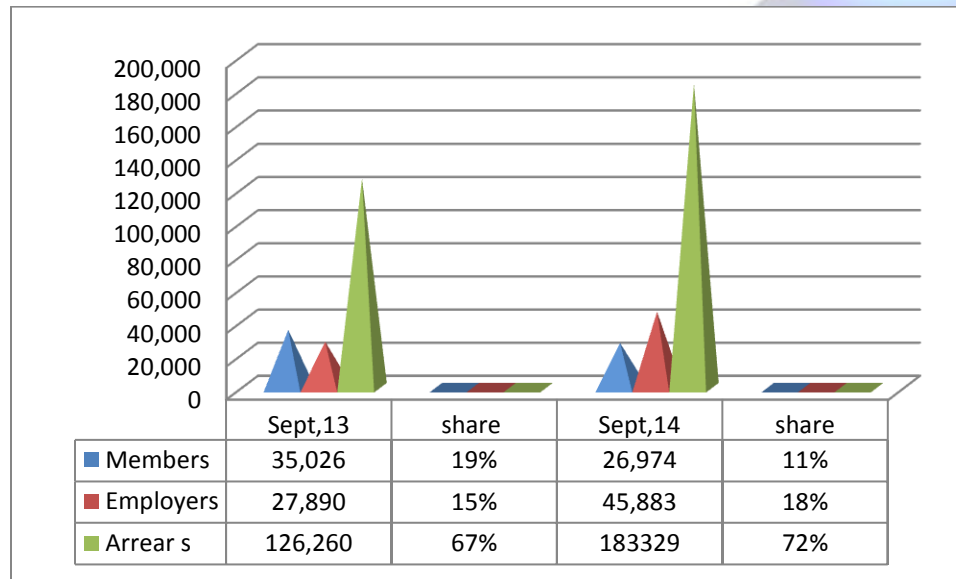
5.0 Contributions

Employers contributed \$46million or 18% whilst members contributed \$27million or 11% of total contributions (September 2013:\$28million or 15%:\$35million or 19%). The balance of \$183million or 72% of total contributions were arrears which grew from \$126million or 67%. (See Table 3 and Figure 2, below).

Table 3: Contributions Statistics per Standalone Fund for the Third quarter ended 30 September 2014

Fund Name	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Sep-13	Sep-14	Growth	Sep-13	Sep-14	Growth	Sep-13	Sep-14	Growth	Sep-13	Sep-14	Growth	Sep-13	Sep-14	Growth
Catering IPF	-	892	0%	*	892	-	*	0	0%	*	-	-	-	1,784	-
Clothing IPF	465	550	18%	651	770	18%	342	410	20%	774	909	17%	2,232	2,639	18%
CAIPF	1,397	1,115	-20%	4,194	3,344	-20%	1,158	2,072	79%	4,643	12,285	165%	11,392	18,816	65%
CIPF	1,572	1,315	-16%	1,572	1,315	-16%	-	-	0%	346	356	3%	3,490	2,986	-14%
LAPF	14,914	5,334	-64%	5,054	15,991	216%	-	-	0%	88,816	120,244	35%	108,784	141,569	30%
MIPF	11,424	12,046	5%	11,410	12,055	6%	53	125	136%	3,444	695	-80%	26,331	24,921	-5%
NRZ	2,722	2,603	-4%	-	0	0	-	0	0%	17,039	17,891	5%	19,761	20,494	4%
ZB FHGPF	629	1,207	92%	974	1,787	83%	-	0	0%	-	0	-	1,603	2,994	87%
ZMDC	37	42	14%	90	101	12%	-	0	0%	499	1,039	108%	626	1,182	89%
ZESA PF	526	-	0%	1,118	5,810	420%	1,753	0	0%	3,725	16,320	338%	7,122	22,130	211%
GMB	372	301	-19%	1,377	1,295	-6%	136	432	218%	1,265	2,653	110%	3,150	4,681	49%
Zimpapers	-	319	0%	-	447	-	-	207	0%	-	4,610	-	-	5,583	-
Motor Ind	882	1,248	41%	1,323	2,073	57%	617	524	-15%	1,650	2,557	55%	4,472	6,402	43%
Pentact P/F	1	1	0%	1	2	100%	-	-	0%	-	-	-	2	3	50%
SBM	85	1	-99%	126	1	-99%	-	-	0%	-	-	-	211	2	-99%
Total	35,026	26,974	-23%	27,890	45,883	65%	4,059	3,770	-7%	122,201	179,559	47%	189,176	256,186	35%

Figure 2: Contributions Statistics per Standalone Fund for the Third quarter ended 30 September 2014(\$000)



6.0 Income and Expenditure

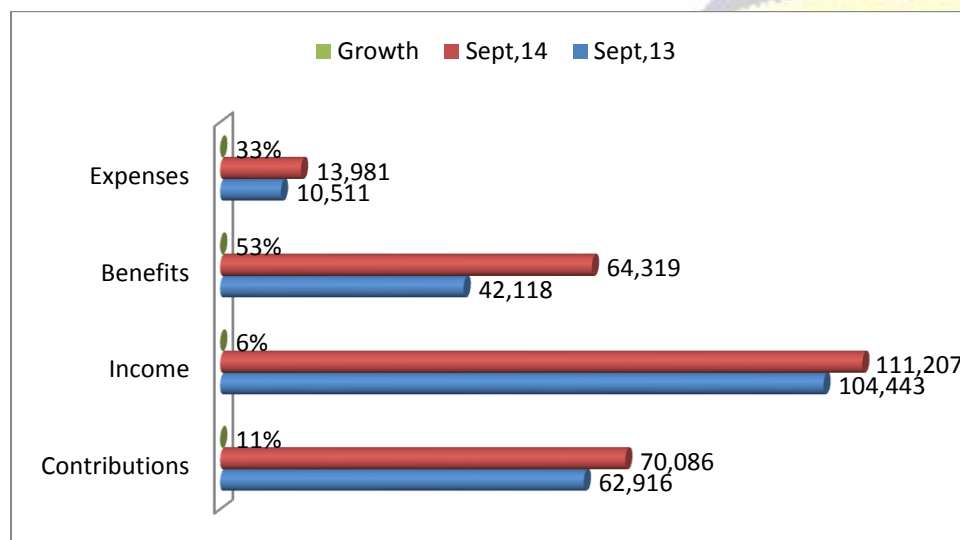
For the review period, Standalone funds received contributions in the sum of 70million whilst expenses, net of benefits paid, were \$14 million (September 2013:63 million, expenditure: \$11 million. Cost streams outgrew contribution streams by a multiple of at least 3, clearly signifying an unsustainable trajectory if member values and benefits are to improve.

The Commission has directed funds to provide an itemized breakdown of their respective expenditure with a view to diagnose this cancerous challenge comprehensively in the coming reporting periods (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Standalone Fund for the Third quarter ended 30 September 2014(\$000)

Fund Name	Total Contributions(Excl arrears)\$ (000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth
Catering IPF	*	1,784	0%	*	2,661	0%	*	536	0%	*	1,001	0%	*	56%	-	*	38%	-
Clothing IPF	1,116	1,320	18%	1,599	2,540	59%	554	490	-12%	365	962	164%	33%	73%	40%	23%	38%	15%
CAIPF	5,591	4,459	-20%	13,528	9,723	-28%	7,401	7,475	1%	1,422	2,178	53%	25%	49%	24%	11%	22%	11%
CIPF	3,144	2,630	-16%	4,964	3,030	-39%	453	786	74%	1,602	1,554	-3%	51%	59%	8%	32%	51%	19%
LAPF	19,968	21,325	7%	26,912	28,438	6%	9,969	9,522	-4%	1,635	1,633	0%	8%	8%	0%	6%	6%	0%
MIPF	22,834	24,101	6%	29,807	32,786	10%	9,307	27,582	196%	2,239	2,778	24%	10%	12%	2%	8%	8%	0%
NRZ	2,722	2,603	-4%	15,632	14,366	-8%	12,207	14,268	17%	1,257	1,568	25%	46%	60%	14%	8%	11%	3%
ZB FHGPF	1,603	2,994	87%	2,613	3,006	15%	378	400	6%	103	163	58%	6%	5%	-1%	4%	5%	1%
ZMDC	127	143	13%	300	330	10%	227	131	-42%	51	28	-45%	40%	20%	-20%	17%	8%	-9%
ZESA PF	1,644	5,810	253%	2,002	6,232	211%	206	302	47%	235	401	71%	14%	7%	-7%	12%	6%	-6%
GMB	1,749	1,596	-9%	2,000	2,025	1%	30	35	17%	559	486	-13%	32%	30%	-2%	28%	24%	-4%
Zimpapers	*	766	0%	*	1,051	0%	*	403	0%	*	334	0%	*	44%	-	*	32%	-
Motor Ind	2,205	3,321	51%	4,553	4,998	10%	1,313	2,389	82%	902	895	-1%	41%	27%	-14%	20%	18%	-2%
Pentact P/F	2	3	50%	2	18	800%	0	0	0%	0	0	0%	0%	0%	0%	0%	0%	0%
SBM	211	2	-99%	531	3	-99%	73	0	-100%	141	0	-100%	67%	0%	-67%	27%	0%	-27%
Totals	62,916	70,086	11%	104,443	111,207	6%	42,118	64,319	53%	10,511	13,981	33%	35%	20%	-15%	10%	13%	3%

Figure 3: Income and Expenditure for Standalone Funds for the current year to date ended 30 September 2014(\$000)



7.0 Fund Assets

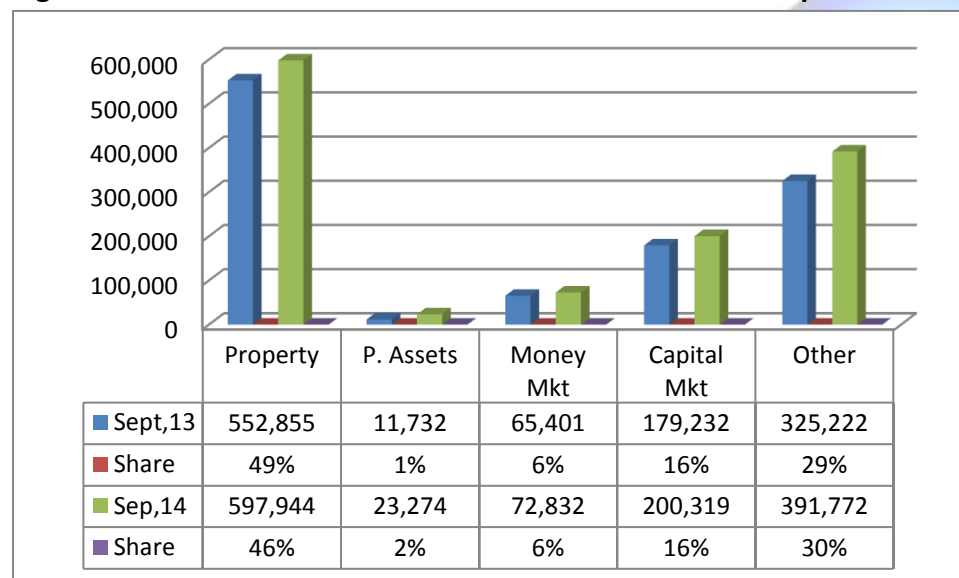
For the period ended 30 September 2014, Standalone funds invested \$598million or 46% in property (September 2013:49% or \$553million),16% or \$200million in capital market securities (September 2013:16% or \$179million),6% or \$73million in money market securities(September 2013:6% or \$65million, }, 30% or \$392million in other securities(September 2013:29% or \$325million, } and 2% or \$23million in prescribed assets(September 2013:1% or 12million)(See Table 5 and Figure 4, below).

Funds must continue to abide by investment guidelines from the Commission as well as advice from their respective actuaries in asset liability matching.

Table 5: Fund Assets Market Value per Standalone Fund for the Third quarter ended 30 September 2014

Fund Name	Immovable Property(\$000)			Prescribed Assets(\$000)			Money Market Securities(\$000)			Capital Market Securities(\$000)			Other(\$000)			Total(\$000)		
	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth
Catering IPF	*	7,731	-	*	74	-	*	701	-	*	4,862	-	*	853	-	*	14,221	-
Clothing IPF	11,100	11,100	0%	50	250	400%	1,511	1,199	-21%	3,711	4,288	16%	1,178	1,635	39%	17,550	18,472	5%
CAIPF	84,621	87,021	3%	2,000	4,062	103%	10,088	6,204	-39%	21,544	23,457	9%	25,425	34,566	36%	143,678	155,310	8%
CIPF	12,356	11,886	-4%	1,936	213	-89%	0	0	-	6,451	6,311	-2%	3,714	4,776	29%	24,457	23,186	-5%
LAPF	68,839	82,165	19%	0	0	-	0	0	-	31,663	38,116	20%	95,351	125,948	32%	195,853	246,229	26%
MIPF	100,422	102,096	2%	4,073	10,667	162%	2,088	3,691	77%	60,142	65,035	8%	3,931	1,448	-63%	170,656	182,937	7%
NRZ	230,343	236,101	2%	500	1,895	279%	18,216	15,857	-13%	13,005	17,014	31%	161,878	168,833	4%	423,942	439,700	4%
ZB FHGPF	13,338	12,071	-9%	2,144	1,763	-18%	20,575	32,668	59%	24,957	20,180	-19%	2,631	-	-	63,645	66,682	5%
ZMDC	1,574	1,574	0%	-	0	-	597	644	8%	-	0	-	1,999	2,880	44%	4,170	5,098	22%
ZESA PF	16,927	26,014	54%	356	2,082	485%	12,300	6,360	-48%	4,580	4,776	4%	23,937	38,203	60%	58,100	77,435	33%
GMB	8,599	9,478	10%	-	0	-	17	472	2676%	182	1	-99%	1,778	3,798	114%	10,576	13,749	30%
Zimpapers	*	2,297	-	*	13	-	*	5	-	*	1,167	-	*	4,912	-	*	8,394	-
Motor Ind	4,736	8,410	78%	611	2,253	269%	-	5,023	-	11,941	15,092	26%	2,647	3,669	39%	19,935	34,447	73%
Pentact P/F	0	0	-	0	0	-	-	0	-	6	8	33%	199	251	26%	205	259	26%
SBM	0	0	-	62	2	-97%	9	8	-11%	1,050	12	-99%	554	0	-100%	1,675	22	-99%
Totals	552,855	597,944	8%	11,732	23,274	98%	65,401	72,832	11%	179,232	200,319	12%	325,222	391,772	20%	1,134,442	1,286,141	13%

Figure 4: Fund Asset Values for Standalone Funds for third quarter ended 30 September 2014(\$000)





SECTION B:

INSURER ADMINISTERED FUNDS

1.0 Insurer Self-Administered Pension Funds

This report covers 32 funds administered by four insurers (See Table 1, below).

Table 1: Fund Administrators

Insurer	September 2014
First Mutual	5
Old Mutual	24
Altfin	1
Zimnat	2
TOTALS	32

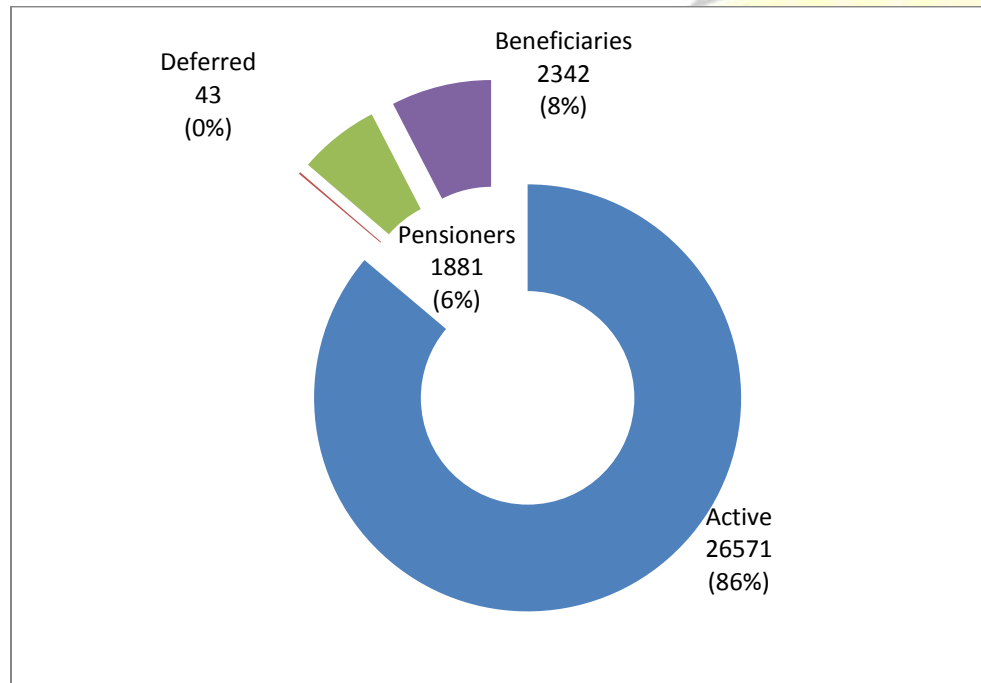
2.0 Pension Fund Membership1

Total fund membership for insurer administered funds was 30 837 shared between 26 571 actives (86%), pensioners-1881 (6%) and the balance being beneficiaries and deferred members. This membership matrix is a strong indicator that several members opt for late retirement as well as bouncing back from retirement to avoid low benefits given a much higher poverty datum line (See Table 2 and Figure 1, below).

Table2: Membership for Insured Self-Administered Pension Funds for the period ended 30 September 2014

Insurer	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth
First Mutual	4139	3704	(11%)	0	0	0	0	0	0	0	0	0	(54)	(133)	146%	4139	3704	(11%)
Old Mutual	21810	22143	2%	52	43	(17%)	1881	1881	0%	461	2342	0%	(274)	(707)	158%	24204	26409	9%
Altfin	*	506	-		0		*	0	-	*	0	-	*	0	-	*	506	-
Zimnat		218	-				*	-	-	*	0	-	*	0	-	*	218	-
Totals	25949	26571	2%	52	43	(17%)	1881	1881	0%	461	2342	408	(328)	(840)	156%	28343	30837	(9%)

Figure 1: Membership Statistics for Insured Self-Administered Funds for the year to date ended 30 September 2014



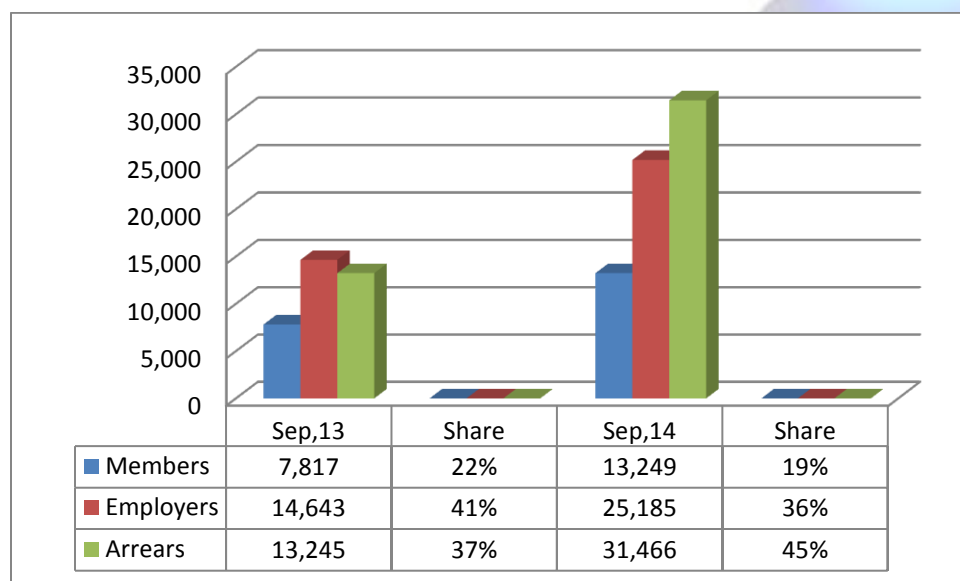
3.0 Contributions

Total contributions receivable by insurer administrators amounted to \$38million or 55% for the current reporting period (September 2013:22million or 63%).Consequently the contribution rate was 45% or \$31million (September 2013:37% or \$13million.This indicates the rising liquidity squeeze that employers are facing. Nevertheless efforts will be made in order to ensure such contribution debts are honored for the benefit of members (See Table 3 and Figure 2 below).

Table 3: Contributions Statistics for Insured Self-Administered Funds for period ended 30 September 2014

Insurer	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth
First Mutual	2,356	4,754	102%	3,350	6,787	103%	0	0	0	5,754	21,433	272%	11,460	32,974	188%
Old Mutual	5,461	8,032	47%	11,293	17,771	57%	0	0	0	7,491	9,942	33%	24,245	35,745	47%
Altfin	*	248	-	-*	280	-	*	30	-	*	33	-	*	591	-
Zimnat	*	215	-	*	347	-	*	-	-	*	28	-	*	590	-
Totals	7,817	13,249	69%	14,643	25,185	72%	0	30	0	13,245	31,436	137%	35,705	69,900	98%

Figure 2: Contribution Statistics for Insured Self-Administered Funds for the Third quarter ended 30 September 2014 \$(000)



4.0 Income and Expenditure

As highlighted above, insurers received \$38million in contributions .The total income increased by 10% was \$47millionwhilst expenditure bill grew by 29% to \$8million from \$6million in the same period last year.

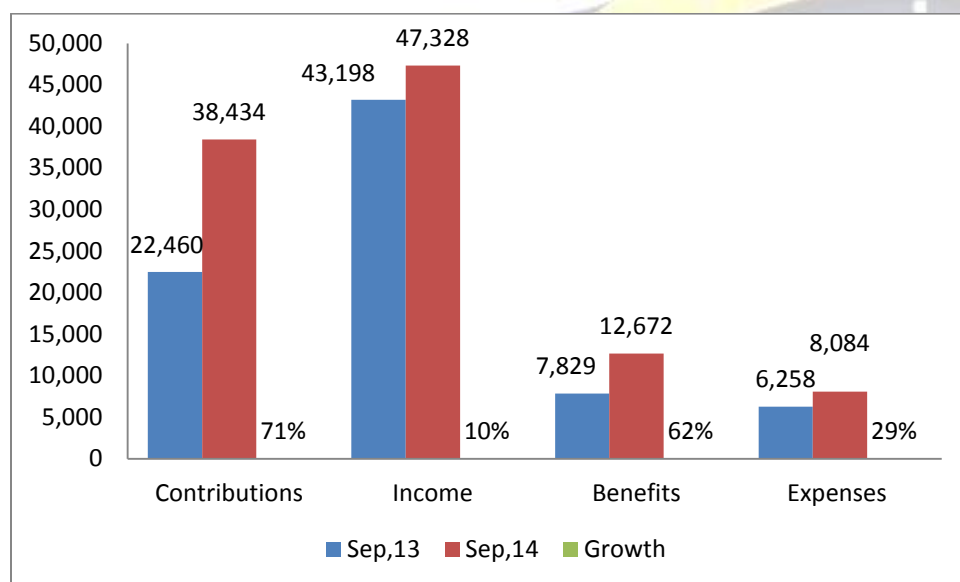
Resultantly the expenses to contributions and expenses to income ratios were 21% and 19% respectively. In line with discussions elsewhere regarding expense ratios, the Commission is seeking ways and means to ensure that such expenses conform to best practice. The present average expense ratio is not sustainable given low investments returns prevailing in the economy (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Insurer for Self-Administered Funds for the Thirdquarterended30 September 2014

Insurer	Total Contributions(Excl arrears)\$(000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth
First Mutual	5,706	11,541	102%	5,820	12,251	110%	741	3,258	340%	741	3,231	336%	15%	28%	16%	13%	26%	13%
Old Mutual	16,754	25,803	54%	37,378	33,617	(10%)	7,088	9,205	30%	5517	4,301	(22%)	33%	17%	(16%)	15%	13%	(2%)

Altfin	*	528	-	*	557	-	*	26	-	*	190	-	*	36%	-	*	34%	-
Zimnat	*	562	-	*	903	-	*	183	-	*	362	-	*	64%	-	*	40%	-
Totals	22,460	38,434	71%	43,198	47,328	10%	7,829	12,672	62%	6,258	8,084	29%	28%	21%	(7%)	14%	19%	5%

Figure 3: Income and Expenditure for Insured Self-Administered Funds for the Third quarter ended 30 September 2014 (\$'000)



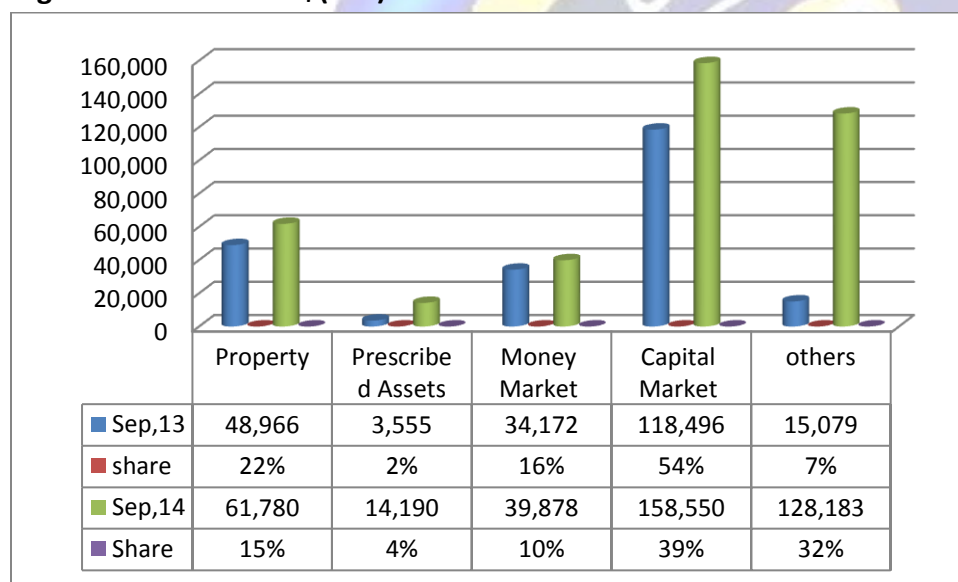
5.0 Fund Assets

For the year to date ended 30 September 2014, Insurer administered funds invested \$62million or 15% in properties[September 2013:\$49million or 22%],39% or \$159million in capital market securities[September 2013:54% or \$118million],10% or \$40million in money market securities[September 2013:16% or \$34million],32% or \$128million in other securities and 4% or \$14million in prescribed assets [September 2013 :2% or \$4million].The Commission expects such encouraging growth in fund assets to fuel improved member values and benefits(See Table 5 and Figure 4, below).

Table 5: Fund Asset Statistics at Market Value for Insured Self-Administered Funds for the period ended 30 September 2014

Fund Name	Immovable Property\$(000)			Prescribed Assets\$(000)			Money Market Securities\$(000)			Capital Market Securities\$(000)			Other\$(000)			Total\$(000)		
	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth
First Mutual	1,056	8,506	705%	451	588	30%	40	1,997	4893%	9,202	25,743	180%	6,575	21,445	226%	17,324	58,279	236%
Altfin	*	0	-	*	185	-	*	802	-	*	1,022	-	*	146	-	*	2,155	-
Old Mutual	47,910	53,007	11%	3,104	13,156	324%	34,132	36,177	6%	109,294	129,586	19%	8,504	106,467	1152%	208,944	338,393	62%
Zimnat	*	267	-	*	261	-	*	902	-	*	2,199	-	*	125	-	*	3,754	-
Totals	48,966	61,780	26%	3,555	14,190	299%	34,172	39,878	17%	118,496	158,550	34%	15,079	128,183	852%	226,268	402,581	78%

Figure 4: Fund Assets \$(000)





**SECTION C:
FUND ADMINISTRATORS**

1.0 Fund Administrators

This report is based on 130 funds (See Table 1, below).

Table 1: Fund Administrators

Fund Administrator	September 2014
Aon Consulting	57
Comarton Consultants	28
Marsh	45
Zimbabwe Insurance Brokers	-
TOTALS	130

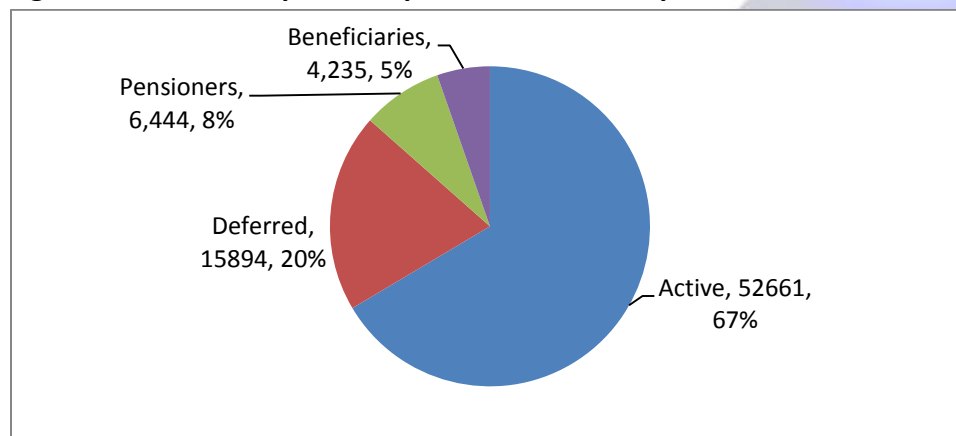
2.0 Pension Fund Membership

Fund membership was composed of 79 234 made up of 52 661 actives (67%), deferred pensioners 15 894(20%), pensioners 6,444(8%) and the balance of 4 235 or 5% were beneficiaries. (See Table 2 and figure 1 below).

Table2: Membership for Self-Administered Funds for the period ended 30 September 2014

Administrator	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth
Aon	27296	22328	(18%)	691	10673	1445%	715	1648	130%	533	1007	89%	(581)	(1892)	226%	28654	35656	24%
Comarton	16232	14330	(12%)	70	510	(629%)	2080	2147	3%	1816	1693	(7%)	(177)	(264)	49%	20021	18680	(7%)
Marsh	16457	16003	(3%)	4307	4711	9%	3262	2649	(19%)	1815	1535	(15%)	(212)	(223)	5%	25629	24898	(3%)
ZIB	225	0	-	-	0	-	-	0	-	8	0	-	(11)	0	-	222	0	-
Totals	60210	52661	(13%)	5068	15894	214%	6,057	6,444	6%	4,172	4,235	2%	(981)	2379	143%	74526	79234	6%

Figure 1: Membership for the period ended 30 September 2014



3.0 Contributions

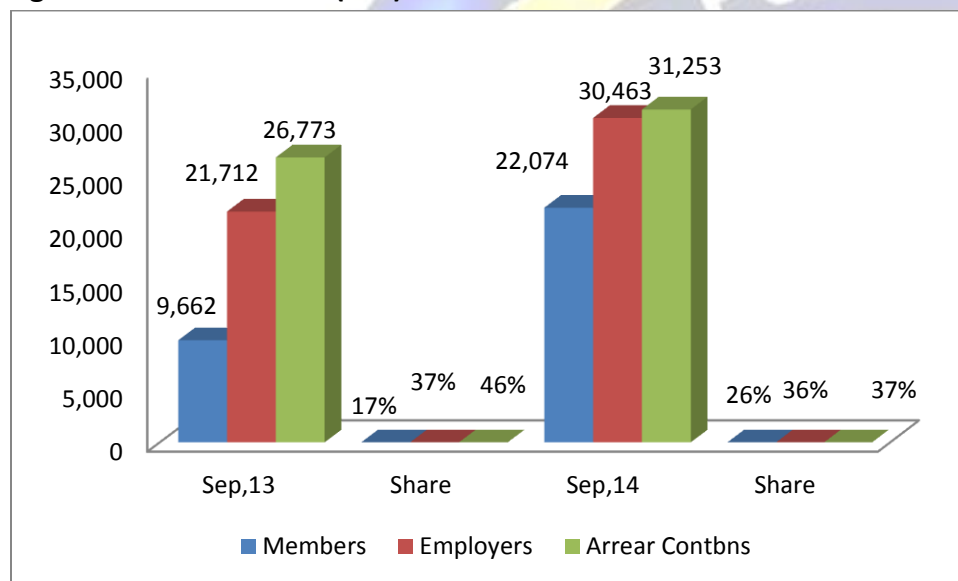
For the period ended 30 September 2014, total contributions realized by fund administrators was \$84million. Employee contributions were \$22million or 26%[September 2013:\$10million 17%], and employers paid \$30million or 36%[September 2013:\$28million or 37%]. However, \$31million or 37% was in arrears [September 2013:\$27million or 46%]. The Commission continues to engage the industry in order to recover these debts in various ways with some employers opting to cede property in lieu of cash injections as well as submitting payment plans to IPEC (See Table 3 and Figure 2 below).

Table 3: Contributions Statistics for Self-Administered Funds for the period ended 30 September 2014

Fund Name	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth
Aon	4,604	10,438	127%	9,223	16,983	84%	2,450	3,508	43%	2,450	4,651	90%	18,727	35,580	90%
Comarton	1,135	2,017	78%	4,906	3,435	(30%)	1,604	724	(55%)	13,551	12,853	(5%)	21,196	19,029	(10%)

Marsh	3,914	9,619	146%	7,537	10,045	33%	-	-	-	6,680	9,517	42%	18,131	29,181	61%
ZIB	9	*	-	46	*	-	13	*	-	25	*	-	93	*	-
Total	9,662	22,074	128%	21,712	30,463	40%	4,067	4,232	4%	22,706	27,021	19%	58,147	83,790	44%

Figure 2: Contributions \$(000)



4.0 Income and Expenditure

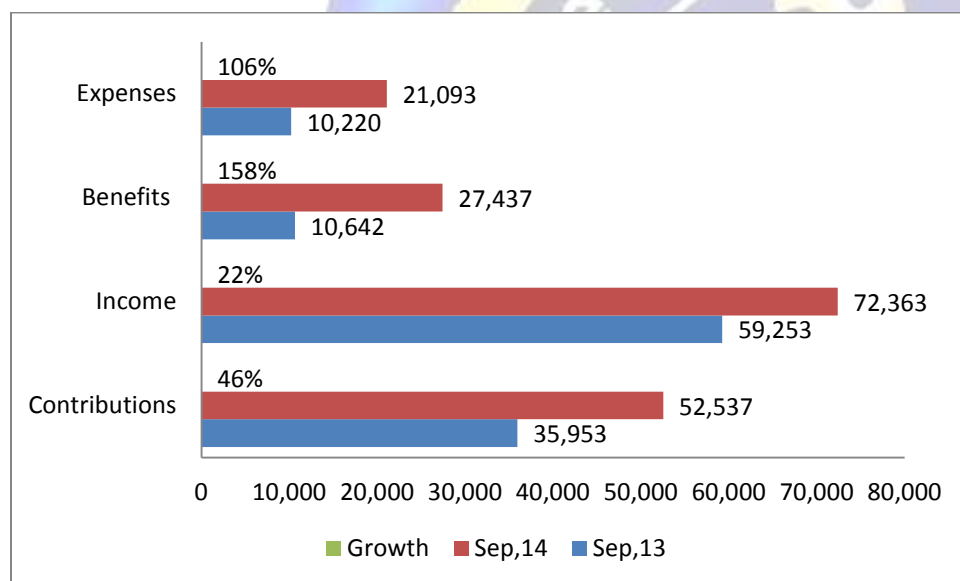
For the quarter under review, fund administrators collected \$53million in contributions and \$72million was realized as total income. However expenses reportedly grew at double the rate for income which put undue pressure on member values and benefits. AS discussed above, the Commission will treat this issue with great priority with a view to guard member interests in line with the law.

The expenses- to- contributions and expenses- to- income ratios were 40% and 29% respectively (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure for Self-Administered Funds for the period ended 30 September 2014

Fund Name	Total Contributions(Excl arrears) \$(000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth
Aon	15,498	27,421	77%	31,448	30,142	4%	5,119	11,825	131%	4,202	10,456	149%	27%	38%	11%	13%	35%	22%
Comarton	7,647	5,452	(29%)	9,989	14,234	42%	1,874	3,297	76%	2,454	3,524	44%	32%	65%	33%	25%	25%	-
Marsh	12,707	19,664	55%	17,702	27,987	58%	3,646	12,315	238%	3,518	7,113	102%	28%	36%	8%	20%	25%	5%
ZIB	101	*	-	114	-	-	3	-	-	46	-	-	45%	-	-	40%	-	-
Totals	35,953	52,537	46%	59,253	72,363	22%	10,642	27,437	158%	10,220	21,093	106%	28%	40%	12%	17%	29%	12%

Figure 3: Income and Expenditure \$(000)



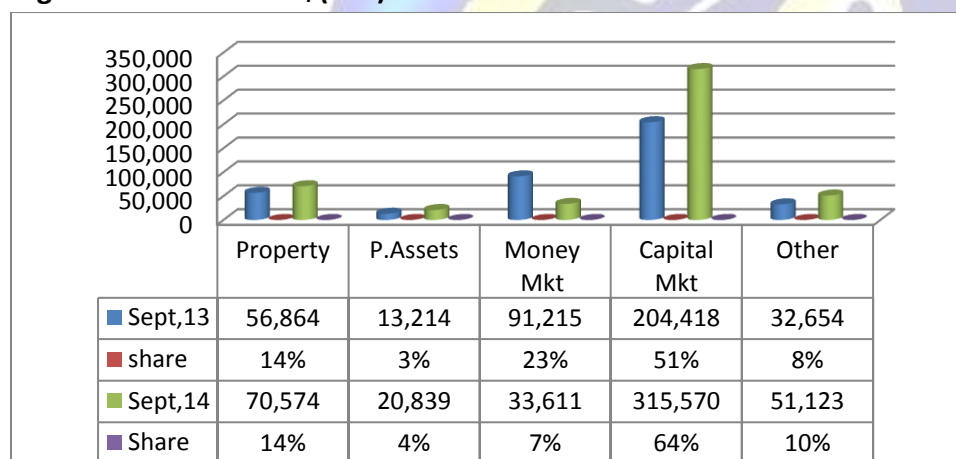
5.0 Fund Assets

As at the year ended 30 September 2014, fund administrators cumulatively invested \$71million or 14% in properties[September 2013: \$57million or 14%],64% or \$316 million in capital market securities[September 2013:51% or 204million],7% or \$34million in money market securities[September 2013:23% or \$91million],10% or \$51million in other securities(September 2013:8% or \$33million) and 4% or \$21million in prescribed assets[September 2013:3% or \$13million](See Table 5 and Figure 4, below).

Table 5: Fund Asset Statistics at Market Value for Self-Administered Funds for the Third quarter ended 30 September 2014

Fund Name	Immovable Property \$(000)			Prescribed Assets \$(000)			Money Market Securities \$(000)			Capital Market Securities \$(000)			Other \$(000)			Total \$(000)		
	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth	Sept 2013	Sept 2014	Growth
Aon	13,426	24,101	80%	7,960	6,158	(23%)	50,383	0	0%	121,299	161,897	33%	9,457	29,968	217%	202,525	222,124	10%
Comarton	3,490	-	-	914	4,503	(393%)	14,577	15,913	9%	32,516	65,355	101%	14,517	-	0%	66,014	85,771	30%
Marsh	39,923	46,473	16%	4,330	10,178	135%	26,215	17,698	(32%)	50,431	88,318	75%	8,678	21,155	144%	129,577	183,822	42%
ZIB	25	-	-	10	-	-	40	*	-	172	0	-	2	-	-	247	*	-
Totals	56,864	70,574	24%	13,214	20,839	58%	91,215	33,611	37%	204,418	315,570	54%	32,654	51,123	57%	398,365	491,717	23%

Figure 4: Fund Assets \$(000)



6. Circulars Issued

The following table summarizes circulars that were issued:-

Table6: Issued Acts, Circulars and Statutory Instruments for the year to date ended 30 September 2014

Details	Subject Matter	Issue Date
Circular No. 1 of 2014	Calculation of capital for short term Insurers	5 June 2014

Circular No.2 of 2014	Commutation of Pensions	11 April 2014
Circular No.3 of 2014	Dissolutions of Pension Funds	03 August 2014
Circular No.4 of 2014	Guidance of Calculation of Capital and Other Related Issues	10 September 2014
Circular No.5 of 2014	Preparation of Financial Statements	9 October 2014
Circular No. 6 of 2014	Modernizing Insurance Regulation in Zimbabwe	9 October 2014
Circular No. 7 of 2014	Actuarial Standards for Pension fund valuation	21 October 2014
Circular No.8 of 2014	Actuarial valuation for short Term Insurance Companies	14 October 2014

7.0 Prescribed Assets

Out of a minimum compliance level of 10%, the industry's aggregate up-take of prescribed bonds was 1%. As more bonds are floated on the market, players are required to participate as a way of complying with the prescribed asset ratio. New business should therefore help companies to correct their asset composition.

Table 7: List of Prescribed Bonds

Issuer	Bond Name	Bond Description	Tenure	Coupon rate	Issue date
Fidelity Life Assurance	Fidelity Life Assurance Bond- \$10million	Funding Development of South view Park	5years	11%	17 February 2014
IDBZ	IDBZ BOND- \$65 Miillion	Infrastructure Development	5years	8%	17 November 2014
NMB	SME:\$10 million	SMEs capitalisation	2years	10%	July 2014
FBC /Agribank	Agrobills:\$15million	To finance cropping season	360days	10%	28 July 2014

CBZ	Agrobills- 105million	Purchase of 2013/2014 grains by GMB	1Year	9-12%	October 2014
ZB Financial Holdings	ZB Agrobills- \$10 million	To support 2014/15 Agricultural season	270& 360 days	10%	3 October 2014
Bindura Nickel Mine Corporation	Bindura Nickel Bond-\$20 Million	Recapitalisation of the mine	5years	10%	November 2014



